

Latvian Forestry and Timber Auction Regulations

Corrected simulation reference, v2 — replaces the original Run 3 report · July 2026

DOCUMENT STATUS — read first. This is a **simulation assumptions document**, not a verified legal reference. Confidence tags: **[VERIFIED]** = confirmed against an official primary source, cited. **[ASSUMED]** = plausible practice, unverified; treat as a tunable placeholder. **[UNCERTAIN]** = genuinely unknown; flagged for interviews. Any statement without a tag inherits [ASSUMED]. Where this document conflicts with DESIGN_DECISIONS.md, that file wins.

CORRECTIONS IN v2: (1) The VAT section of the original was **wrong in both directions** — it denied the reverse-charge regime and prescribed adding 12% VAT to all log sales. Rewritten and [VERIFIED] below; the simulation consequence is the opposite of the original instruction. (2) Bid increments corrected from “10% of current bid” (implausible) to small fixed €/m³ steps. (3) EUTR framing updated with the EUDR transition dates verified in the Run 2 report. (4) All uncited “Legal/Official” claims downgraded to [ASSUMED].

1. VAT treatment of timber transactions [VERIFIED — CORRECTED]

Domestic B2B supplies of timber (kokmateriāli) and related services between VAT-registered companies in Latvia use the **reverse-charge mechanism** (apgrieztā jeb reversā PVN maksāšanas kārtība) under **Article 141 of the VAT law** (Pievienotās vērtības nodokļa likuma 141. pants), in force since **1 July 1999** — timber was Latvia's first reverse-charge sector. Source: Latvian Ministry of Finance, “Pievienotās vērtības nodokļa piemērošanas kārtība” (fm.gov.lv), current as of July 2026.

- The **seller invoices the net value without VAT** and marks the invoice “nodokļa apgrieztā maksāšana”; the **buyer self-accounts** for VAT in its own declaration (output and input VAT in the same return — cash-neutral for a normal trading company).
- Intra-EU sale to a VAT-registered buyer in another member state: zero-rated intra-Community supply against a valid EU VAT number. Export outside the EU: zero-rated with customs export documentation.
- Product-owner verification: every supplier invoice processed at a Latvian mill carries the reverse-charge marking. This is daily operating reality, not an edge case.

SIMULATION RULE (overrides the original report): domestic B2B timber transactions between registered companies carry **no VAT cash flows**. Model all in-game timber prices as VAT-free and ignore VAT entirely in the cash engine. Do **not** add 12% or 21% VAT to any log sale anywhere in the simulation. VAT modeling, if ever added, belongs only to non-timber overheads and is out of scope for v1.

2. LVM prepared-roundwood auctions (felled logs)

- LVM (Latvijas valsts meži) sells prepared roundwood assortments through publicly announced sales/e-auctions with published lot data (assortment, volume in solid m³, location, terms). Sales calendars are public on lvm.lv. [VERIFIED — LVM sales pages, Run 1/Run 2 reports]
- Registration before bidding, with company details; a deposit/guarantee secures participation. Deposit magnitude ≈ 10% of lot minimum value. [ASSUMED]
- Bidding in fixed increments of €0.50–1.00 per m³ [ASSUMED — corrected from the original's “10% of current bid”, which would jump €82 to €90 in one step and contradicts observed e-auction practice]. Auto-extension by ~2 minutes if a bid lands in the final minutes. [ASSUMED]
- Payment in full within ~3 business days of winning; late payment forfeits the deposit and the lot may be re-offered. [ASSUMED — exact term appears per auction notice; a range up to ~10 days may occur]
- Removal window ~30 days after payment; seasonal limits (thaw) may shorten or shift it. Non-removal penalty ≈ €1/m³/day, then cancellation. [ASSUMED]

- Auction results are publicly visible — the basis of the in-game competitor footprint mechanic. [VERIFIED at the level of practice]

3. LVM standing timber / harvesting rights

- Standing timber (ciršmas) in state forests is sold via auctions/tenders; the buyer arranges harvesting and obtains the felling permit for the stand. Lot data includes stand information and estimated assortment outturn. [ASSUMED at detail level]
- Simulation: standing-timber purchase creates a permit step (ciršanas apliecība tied to the lot) and requires the buyer to arrange harvesting; LVM does not deliver.

4. Bidder registration and eligibility

- Registered companies with a VAT number participate; a deposit is required; bids are anonymous between participants during the auction. [ASSUMED]
- Simulation: only companies (player + AI companies) bid; deposit paid on registration per lot; identities revealed only in the public results after close.

5. Measurement basis

- Volumes in solid cubic metres (m³) under the Latvian measurement standard (LVS 82:2024 governs roundwood measurement; VMF Latvia performs independent measurement at major buyers). [VERIFIED — Run 2 report]
- LVM publishes an estimated lot volume; small deviation ($\pm 2-3\%$) between declared and removed volume is tolerated without price adjustment. [ASSUMED]

6. Transfer of title and risk

- Title and risk pass to the buyer on full payment; wood at roadside thereafter sits at the buyer's risk (weather, theft, degradation) until removed. [ASSUMED — contract-dependent in reality; use as the simulation rule]

7. Origin and transport documents

- **Ciršanas apliecība (felling permit):** issued by the State Forest Service (VMD); mandatory for any felling; the legality anchor for the timber's origin. For LVM prepared-log sales the permit side is handled within the sale; for standing timber the buyer's harvest operates under the permit for that stand. [VERIFIED at concept level — Forest Law; details ASSUMED]
- Transport runs with a **delivery note (pavadzīme)** referencing the origin documents; buyers demand origin papers — Run 2 verified that major mills require felling-permit copies and origin documents from sellers. [VERIFIED — published buyer rules]
- Simulation: each lot carries a document object; each load references it; a load without valid papers can trigger a VMD check event / buyer rejection.

8. Responsibilities by role

- Seller (LVM/forest owner): legal sale, measured volumes, documents. Buyer: pay on time, remove on time, transport legally, bear post-payment risk. Harvester: fell to plan, share legality liability. Carrier: carry documents, legal routes. Mill: verify and retain origin documentation. [ASSUMED as simulation role model]

9. Legality and due diligence (EUTR → EUDR) [VERIFIED dates]

- Until the EUDR application dates, the EU Timber Regulation framework applies; domestic timber with a valid ciršanas apliecība is treated as legal. The EU Deforestation Regulation (2023/1115) applies from **30 December 2026** for non-micro/small operators and **30 June 2027** for micro and small enterprises [VERIFIED — EUR-Lex, Run 2 report].
- Simulation: legality = document presence. EUDR appears as a late-game compliance layer gating export (due diligence + origin geolocation), consistent with DESIGN_DECISIONS.md §14/certification notes.

10. Certification (FSC/PEFC)

- Voluntary, not legally required; commercially real: documented +€1.50/m³ PEFC premium at a major veneer buyer, and certification/origin declarations required by several buyers [VERIFIED — Run 2]. LVM's state forests are certified (PEFC; FSC status varies by period — [UNCERTAIN], treat as certified-source supply in-game).

11. Contract architecture

- Roadside/prepared lots: effectively ex-works forest roadside — buyer arranges and pays transport. Standing timber: sale of harvesting rights; buyer bears harvest cost and risk. Delivered-to-mill sales exist between traders and mills (the player's own selling mode). [ASSUMED as structure; consistent with published buyer practice]

12. Consolidated simulation ruleset (Codex-facing)

Parameter	Value	Tag
VAT on domestic B2B timber	None in cash engine (reverse charge, Art. 141)	VERIFIED
Auction deposit	10% of lot minimum	ASSUMED
Bid increment	€0.50–1.00 / m ³ , fixed step	ASSUMED
Late-bid auto-extension	+2 min if bid in final 5 min	ASSUMED
Payment deadline	3 business days; miss = deposit lost, lot re-offered	ASSUMED
Removal deadline	30 days after payment	ASSUMED
Non-removal penalty	€1 / m ³ / day, cancel after 14 days late	ASSUMED
Volume tolerance	±2% declared vs actual, no adjustment	ASSUMED
Title & risk transfer	On full payment, at roadside	ASSUMED
Documents per load	Lot document reference required; missing = event risk	VERIFIED (concept)
Auction results	Public after close (competitor intel feed)	VERIFIED (practice)
EUDR gate for export	30 Dec 2026 / 30 Jun 2027 (size-dependent)	VERIFIED

13. Open items for interviews / future verification

- Exact LVM deposit %, bid increment, extension rule, payment and removal terms (read directly from a live auction notice on lvm.lv — ten-minute task, would upgrade most [ASSUMED] rows above to [VERIFIED]).
- Non-removal penalty rates in LVM's standard contract; standing-timber lot sizing and frequency; FSC status of LVM territories.

v2 prepared for the Mežtirgus project, July 2026. Supersedes the uncited Run 3 regulations report. VAT correction verified against fm.gov.lv; EUDR dates and buyer documentation practice verified in the Run 2 report; remaining values are labelled assumptions for simulation use.